
NEW ZEALAND

2006

1. Overview of the tax-benefit system

The provision of social security benefits in New Zealand is funded from general taxation and not specific social security contributions. Social security benefits for the unemployed are not funded from specific employee/employer contributions and there are no minimum working hours or earnings required in order for a person to be covered. All New Zealanders regardless of their employment history are covered by the benefits provided under the Social Security Act 1964. All benefits are payable without a fixed duration. In addition to the specific qualifying criteria for each benefit, provision is subject to a New Zealand residence requirement and personal income (joint income in the case of married, civil union and de facto couples).

Family Assistance payments are available to families with dependent children, consisting of Family Support, In-Work Payment, Parental Tax Credit and Family Tax Credit. Family Tax Credit provides a guaranteed minimum family income to working non-beneficiary families.¹

The tax unit is the individual but eligibility for Family Assistance is based on combined family income (children's income is not counted). The average taxable income of personal taxpayers for 2006 was NZD 30,030.²

1.1. Average worker wage (AW)

The 2006 AW level is NZD 40 843.

2. Unemployment insurance

There is no unemployment insurance.

¹ Family Assistance payments are tax credits administered as transfer payments paid through the tax and benefit systems. In 2007, the package has been renamed as "Working for Families Tax Credits". See section 12.

² This data is based on a sample of individual taxpayers. It includes all those who filed a return (or received a personal tax summary) plus all those from whom PAYE was deducted. It does not include non-filers unless they had PAYE-related earnings. It does include some people with losses, who hence have zero taxable income. The 2006 data is subject to change as late returns are still being received. The data for earlier tax years using this definition is outlined below:

- 2001: 24,596
- 2002: 25,757
- 2003: 26,431
- 2004: 27,884
- 2005: 29,142

3. Unemployment assistance

3.1 Conditions for receipt

A person is entitled to an Unemployment Benefit provided they are available and willing to undertake full time paid employment. A person must have resided in New Zealand continuously for at least two years and be at least 18 years old, or alternatively at least 16 years old and married, in a civil union or de facto relationship with one or more dependent children. They must not be in full time employment (defined as working 30 or more hours per week), but available for and taking reasonable steps to find suitable employment. These are referred to as the work test provisions. Striking workers and full time students are not entitled to the Unemployment Benefit.

A stand down is applied to new applicants. The stand down period of between one to ten weeks is based on gross income and family circumstances in either the 6 months or 12 months prior to the date of benefit entitlement (whichever results in the shorter stand down).

3.1.1 Employment conditions

A non-entitlement period of 13 weeks applies to applicants for an Unemployment Benefit who has left their employment without a good reason or who has lost their employment due to serious misconduct.

3.1.2 Contribution conditions

None.

3.2 Calculation of benefit amount

3.2.1 Calculation of gross benefit

Entitlement is based on the family, not the individual. Each partner of a married, civil union and de facto couple receives half of the total benefit.

Unemployment Benefit rates as at 1 April 2006	
Family type	Gross rate (NZD per four weeks)
Single 18-19 at home	545.60
Single 18-19 away from home	681.96
Single 20-24	681.96
Single 25 and over	825.12
Sole parent	1205.76
Married, civil union or de facto couple (with or without children)	1363.92

3.2.2 Income and earnings disregards

Net benefit payments are abated at a rate of 70 cents for each dollar after NZD 80 gross weekly earnings before tax. The unit of income assessment is personal income for single people, or joint income for married, civil union and de facto couples.

3.3 Tax treatment of benefit and interaction with other benefits

Unemployment Benefit is taxable with each spouse receiving half of the benefit entitlement for taxation purposes.

3.4 Benefit duration

Unemployment Benefit is payable indefinitely.

3.5 Treatment of particular groups

3.5.1 Young persons

There is no unemployment assistance for people under 18 years old, unless they are 16 or 17 years old and married, in a civil union or de facto relationship with one or more dependent children. Unemployed 16 and 17 year olds who have lost the support of their parents may be entitled to an Independent Youth Benefit.

3.5.2 Older workers

Clients aged 60 years or over may apply for an exemption from meeting their work test obligations (see section 3.1). These clients must still meet the other eligibility criteria for the Unemployment Benefit.

Partners aged between 55-59 years may apply for an exemption from meeting their work test obligations if they have been subject to the work test for 6 months since turning 55 years old.

Universal Superannuation is payable from age 65. There is no compulsory retirement age.

3.5.3 Others if applicable

A client (or partner) serving a sentence of home detention can be exempted from the work test for this period.

Pregnant jobseekers may be exempt from their work test obligations from the day they provide proof of pregnancy from a health professional. Once the jobseeker is 27 weeks pregnant they can be transferred to the non-work tested Sickness Benefit.

A person who is sick, injured or disabled may be eligible to receive an Invalid's Benefit or a Sickness Benefit. These benefits are not work tested but partners may be subject to a work test depending on their circumstances.

Unemployed sole parents and caregivers may be entitled to a Domestic Purposes Benefit (see section 9).

4. Social assistance

None.

5. Housing benefits

5.1 Conditions for receipt

Accommodation Supplement provides assistance towards accommodation costs, including private rent, board and home ownership costs. A person does not have to be receiving a benefit to qualify for Accommodation Supplement.

5.2 Calculation of benefit amount

The calculation of the Accommodation Supplement is based on actual accommodation costs.

5.2.1 Calculation of benefit

Accommodation Supplement provides for 70 per cent of accommodation costs above the entry threshold, up to a maximum amount. The entry threshold is 25 per cent of a person's net rate of benefit (30 per cent if they own their own home) plus the first child rate of Family Support for people with children. For non-beneficiaries, the entry threshold is 25 per cent of the relevant Unemployment Benefit (30 per cent if they own their own home) plus the first child rate of Family Support for people with children.

Accommodation Supplement payments are capped according to median rents in different parts of the country. For example a greater maximum amount of Accommodation Supplement is available in Auckland, reflecting the higher accommodation costs in that city.

Accommodation Supplement weekly maxima as at 1 April 2006 (NZD)				
Family type	Area 1	Area 2	Area 3	Area 4
1 person	145	100	65	45
2 people	160	125	75	55
3 or more people	225	165	120	75

5.2.2 Income and earnings disregards

Beneficiaries do not have their Accommodation Supplement abated. Non-beneficiaries have their Accommodation Supplement reduced by 25 cents for each dollar of gross income above the relevant income threshold shown below.

Accommodation Supplement income thresholds for non-beneficiaries as at 1 April 2006	
Family type	NZD per four weeks
Single 16-17 years	1316
Single 18 years and over	1316
Married, civil union or de facto couple	1980
Sole parent	1744

A cash assets test is also applied. Single beneficiaries without dependent children cannot receive an Accommodation Supplement if they have assets exceeding NZD 8 100. The asset limit for beneficiary couples and beneficiaries with dependent children is NZD 16 200.

Single non-beneficiaries have every NZD 100 of their cash assets over NZD 2 700 treated as NZD 1 per week income for Accommodation Supplement abatement purposes. Non-beneficiary couples and non-beneficiaries with dependent children have every NZD 100 of their cash assets over NZD 5 400 treated as NZD 1 per week income for abatement purposes.

5.3 *Tax treatment of benefit and interaction with other benefits*

Not taxable.

5.4 *Treatment of particular groups*

Tenants who live in a state house receive an Income Related Rent subsidy, and are not eligible for an Accommodation Supplement. People receiving an Income Related Rent subsidy pay 25 per cent of their net income in rent.

5.4.1 *Young persons*

Young people aged 16-17 years are not eligible to receive an Accommodation Supplement unless they are financially independent.

5.4.2 *Older workers*

People receiving New Zealand Superannuation or Veterans Pension cannot receive Accommodation Supplement if they have other income exceeding the appropriate income limit.

5.4.3 *Others if applicable*

Generally students studying full-time cannot access Accommodation Supplement but may receive an Accommodation Benefit if they qualify for the Student Allowance.

6. **Family benefits**

6.1 *Conditions for receipt*

Family Support is available to families on low incomes with dependent children. Beneficiary families are paid Family Support weekly or fortnightly with their benefit. Family Support is paid to non-beneficiary families by the Inland Revenue Department, either weekly or fortnightly (with an end of year square up) or in one lump sum at the end of the tax year. Non-beneficiary families may also be entitled to other Family Assistance payments (see section 10.1.1.2 below).

6.2 *Calculation of benefit amount*

Family Support rates depend on the number of children, the age of the children and family income.

6.2.1 *Calculation of gross benefit*

Gross Family Support rates as at 1 April 2006 (NZD per four weeks)	
For the eldest child:	
Aged 0 – 15 years	288
Aged 16 – 18 years	340
For each additional child:	
Aged 0 – 12 years	188
Aged 13 – 15 years	220
Aged 16 – 18 years	300

6.2.2 *Income and earnings disregards*

Each dollar of gross income in excess of NZD 35 000 reduces Family Support by 20 cents.

6.3 *Tax treatment of benefit and interaction with other benefits*

Not taxable.

6.4 *Treatment of particular groups*

None.

6.4.1 *Young persons*

None.

6.4.2 *Older workers*

None.

6.4.3 *Others if applicable*

None.

7 *Childcare for preschool children*

7.1 *Out-of-pocket childcare fees paid by parents*

Government provides universal funding of between NZD 1.21 and NZD 10.54 per hour per child (as at 1 July 2006) to assist with early childhood education fees. The payment is made by the Ministry of Education direct to the provider of the service.

Childcare Tax Rebate is available for some working parents, who can claim a maximum rebate of NZD 310 per year if they have paid NZD 940 or more for childcare.

7.2 *Childcare benefits*

7.2.1 *Conditions for receipt*

Childcare Subsidy is a non-taxable payment which assists low- and middle-income families to pay for their under five year old children (and some under six year olds) to attend licensed preschool facilities.

A person may be entitled Childcare Subsidy of up to 9 hours a week if they meet the income test. People who are in work related activities or undertaking training may access up to 50 hours Childcare Subsidy per week for the time they are engaged in those activities.

7.2.2 Calculation of benefit amount

7.2.2.1 Calculation of gross benefit

The following table shows Childcare Subsidy income abatement thresholds and maximum rates from 1 April 2006.

Childcare Subsidy income abatement thresholds and rates as at 1 April 2006 (NZD)		
<i>Number of children</i>	<i>Gross weekly income</i>	<i>Childcare Subsidy (per hour)</i>
1	Less than \$770	3.31
	\$770 to \$849.99	2.30
	\$850 to \$929.99	1.28
	\$930 or more	nil
2	Less than 950	3.31
	950 to 1039.99	2.30
	1040 to 1129.99	1.28
	1130 or more	nil
3 or more	Less than 1110	3.31
	1110 to 1219.99	2.30
	1220 to 1329.99	1.28
	1330 or more	nil

7.2.2.2 Income and earnings disregards

Benefits are reduced with gross income (see section 7.2.2.1).

7.2.3 Tax treatment of benefit and interaction with other benefits

Not taxable.

7.2.4 Treatment of particular groups

None.

8. Employment-conditional benefits

In-Work Payment, Family Tax Credit and Parental Tax Credit are available only to non-beneficiary families. In-Work Payment and Family Tax Credit require the parent (or at least one parent in the case of couples) to meet an hours of work test (see section 10).

9. Lone-parent benefits

9.1 Conditions for receipt

Sole parents 18 years or older may qualify for Domestic Purposes Benefit if they are the primary carer for a qualifying dependent child.

From 10 March 2003, the work test was removed from the Domestic Purposes Benefit. Previously the age of the sole parent's youngest child determined their work test requirements. Domestic Purposes Benefit recipients now participate in a planning process that promotes goal setting for the time when their circumstances allow them to successfully combine parenting and work. While most sole parent beneficiaries receive a Domestic Purposes Benefit, other benefits (Unemployment, Sickness and Invalid's) can also be paid at a sole parent rate.

9.2 Calculation of benefit amount

9.2.1 Calculation of gross benefit

As at 1 April 2006 the weekly rate of the sole parent Domestic Purposes Benefit was gross NZD 301.44.

9.2.2 Income and earnings disregards

Domestic Purposes Benefit is abated by 30 cents for each dollar of weekly earnings between NZD 80 and NZD 180. Earnings above NZD 180 per week abate the benefit by 70 cents for each dollar earned. The default is an annual income assessment, though the beneficiary may choose to have a weekly assessment.

9.3 Tax treatment of benefit and interaction with other benefits

The Domestic Purposes Benefit is taxable.

9.4 Benefit duration

Sole parents lose eligibility for Domestic Purposes Benefit when their youngest dependent child turns 18 or at the end of the secondary school year in which their youngest child turned 18.

9.5 Treatment of particular group

9.5.1 Young persons

Some 16 and 17 year old sole parents may be eligible for Emergency Maintenance Allowance.

9.5.2 Older workers

None.

9.5.3 Others if applicable

None.

10. Tax system

10.1 Income tax

10.1.1 Tax allowances and credits

10.1.1.1 Standard allowances

10.1.1.2 Standard tax credits

The Low Income Rebate

The Low-Income Rebate applies where income is under NZD 38 000. It is calculated at 4.5 cents in every dollar of income where income is under NZD 9 500. The maximum rebate of NZD 427.50 is reduced by 1.5 cents for every dollar over NZD 9 500 – thus the rebate runs out at NZD 38 000.

The Transitional Tax Allowance

The Transitional Tax Allowance is available to persons with income under NZD 9 880. This rebate is limited to those in full time employment or who would have been in full time employment but for sickness or accident. The rebate is NZD 728, reduced by 20 cents for each dollar earned over NZD 6 241 – thus the rebate runs out at NZD 9 880.

Family Support

See section 6. Also see section 12.2 for the abatement regime that applies to Family Assistance, including Family Support.

Child Tax Credit

Child Tax Credit is being phased out from 1 April 2006. Families can continue receiving Child Tax Credit if they are ineligible for In-Work Payment, until they start working the required hours for In-Work Payment, or until they no longer meet the criteria for Child Tax Credit.

In-Work Payment

In-Work Payment replaces Child Tax Credit from 1 April 2006. In-Work Payment is available to non-beneficiary families who work a minimum number of hours each week. A sole parent qualifies if they work at least 20 hours per week. A two-parent family qualifies if the two parents work a combined 30 hours per week. In-Work Payment is up to NZD 60 week per for families with three children or fewer. In-Work Payment increases by NZD 15 for each additional child after the third. Eligibility for In-Work Payment depends on family income and the number of children.

Families receiving the following government transfers can still qualify for In-Work Payment, provided the family works the required hours:

- NZ Superannuation
- Veteran's pension
- a foster, orphan's or unsupported child's benefit
- accident compensation for incapacity after 1 January 2006, provided the person normally worked the required hours each week prior to your injury
- paid parental leave or Parental Tax Credit provided the family worked the required hours before taking leave due to the birth of a child.

Family Tax Credit

Family Tax Credit is available to working non-beneficiary families. A sole parent qualifies if they work at least 20 hours per week. A two-parent family qualifies if the two parents work a combined 30 hours per week. Self-employed people are not eligible for the Family Tax Credit.

Family Tax Credit ensures a minimum net income of NZD 340 (including ACC deduction) per week (approximately NZD 21 658 gross per annum) before Family Support and In-Work Payment are included.

Parental Tax Credit

Families may be entitled to Parental Tax Credit of \$150 a week for the first eight weeks after they have a new baby. They cannot receive a Parental Tax Credit if they are also receiving Paid Parental Leave.

10.1.2 Income tax schedule

NZ income tax schedule	
<i>Gross taxable income as at 1 April 2006 (NZD per year)</i>	<i>Statutory tax rate (%)</i>
0 – 38 000	19.5
38 000 – 60 000	33
Above 60 000	39

10.1.3 State and local income taxes

New Zealand has no state or local income tax.

10.2 Treatment of family income

Family members are taxed separately.

10.3 Social security contribution schedule

New Zealand has no compulsory social security contributions to schemes operated within the government sector.

It should be noted that there is an accident compensation scheme administered by the Accident Compensation Corporation for residents and temporary visitors to New Zealand. This scheme is funded in part by premiums paid by employees and employers. Employees pay a premium of 1.3% of their gross earnings. Employers pay a premium depending on their total payroll and their assessed accident risk (the average rate is 0.9%).

10.4 Treatment of particular groups

10.4.1 Young persons

Children who are under the age of 15, or under the age of 18 and attending primary or secondary school, or who turned 18 in the preceding income year and are still at school, are eligible to receive a Child Tax Rebate. Eligible children are allowed to earn income (less interest and dividends) up to \$2,340 per annum, tax-free.

10.4.2 Older workers

None.

10.4.3 Others if applicable

None.

11. Part-time work

11.1 Benefit rules for part-time work

People must be working fewer than an average of 30 hours per week to be eligible for Unemployment Benefit.

11.2 Special tax and social security contribution rules for part-time work

None.

12. Policy developments

12.1 Policy changes introduced during 2005

Civil unions were recognised for social security purposes for both same sex and opposite sex civil union couples.

Applicants for a benefit were able to choose to have their income assessed over either the prior 26 or 52 weeks, for the purposes of determining the length of the stand-down period to apply before their first benefit payment.

12.2 Policy changes introduced during 2006

From 1 April 2006:

- In-Work Payment was introduced, replacing Child Tax Credit (see section 10).
- The income threshold applicable to Family Support, In-Work Payment and Parental Tax Credit was increased from NZD 20 356 and NZD 35 000. A two threshold abatement regime was replaced by a one threshold regime. The new regime reduces each dollar in excess of NZD 35 000 by 20 cents.
- The net income guaranteed by the family tax credit increased to \$17,680.

From 2 October 2006:

- The Childcare Subsidy and Out of School Care and Recreation Subsidy income abatement thresholds were increased by NZD 100 for families in the lowest bracket, NZD 110 for families in the next income bracket, and by NZD 120 for families in the third income bracket (see 7.2.2.1).

12.3 Policy changes since 2006

From 1 April 2007:

- Family Support increased by NZD 10 per week per child
- same sex de facto couples to be treated in the same way as married, civil union and opposite sex de facto couples for the purpose of assessing entitlement to financial assistance
- the net income guaranteed by the family tax credit increased to \$18,044.

From 30 April 2007:

- the Transition to Work Grant replaced the Work Start Grant
- the Course Participation Assistance Programme was introduced.

Some payments to families were renamed in 2007:

- Family Assistance was renamed Working for Families Tax Credits
- Family Support was renamed Family Tax Credit
- In-Work Payment was renamed In-Work Tax Credit
- Family Tax Credit was renamed Minimum Family Tax Credit.
- Parental Tax Credit and Child Tax Credit were not renamed.

12.4 Policy changes announced

From 2 July 2007:

- people may qualify for Domestic Purposes Benefit by caring for a dependant child not their own if that child's parents are unable or (in exceptional circumstances) unwilling to support the child.
- the income stand down period for benefits is reduced from a maximum of ten weeks to a maximum of two weeks for all benefits subject to a stand down.

From 24 September 2007:

- people on Sickness Benefit and Invalid's Benefit will have to develop Personal Development and Employment Plans unless they suffer from severe disability or sickness.
- all benefits payable to a sole parent can continue for 8 weeks after the beneficiary stops caring for the child because of a change in circumstances beyond their control.

Annex: Work Start Grant

Qualifications

To receive the Work Start Grant the client must:

- be aged 16 years or more
- meet an income and asset test
- be unlikely to make the transition into paid work or be unable to attend the interview without the grant
- have a verified job interview for a position of 15 hours or more per week or have a verified job offer of 15 hours or more per week (excluding self employment)
- have an essential cost because of the interview or job offer
- be a New Zealand citizen or permanent resident (i.e. not be in New Zealand unlawfully or here on a temporary permit)
- generally be ordinarily resident in New Zealand
- be a client whose principal income is a benefit or
- be actively enrolled with Work and Income as a job seeker or a student registered with Student Job Search.

Payment

In normal circumstances the maximum amount payable must not exceed \$250 in a 52-week period. More than one grant may be made within a 52-week period but the total value of all grants must not exceed \$250. Below are the weekly income limits for Work Start Grants as at 1 April 2006:³

Category	Gross weekly income limit
Single, 16 - 17 years	\$397.30
Single, 18+ years	\$456.63
Married or civil union couple (with or without children)	\$663.22
Sole parent, 1 child	\$554.09
Sole parent, 2+ children	\$583.76

Exceptions

Where essential costs include relocation, safety equipment or bridging finance, up to a total of \$500 can be paid over a 52 week period. The maximum of \$500 can only be paid where the \$250 for these costs is considered inadequate to pay the client's specific costs. Under these circumstances only the total payment cannot exceed \$500 in any 52-week period. In every other situation, the maximum amount must not exceed \$250 in any 52-week period.

³ From 30 April 2007 the Work Start Grant will be merged into a new transition to work grant programme. The work grant programme will provide up to NZD 1 500 for job search and job placement assistance and for living costs until the client receives their first pay. The work grant programme is available to beneficiaries, students and low income earners moving into full time work.